EXCLUSIVE Businessweek | The China Issue

China Counts on Seniors to Jump-Start a Sluggish Economy

A surge in pensioners with ample resources can boost growth, but they're just a fraction of the country's hundreds of millions of retirees.



Illustration: Xiao Hua Yang for Bloomberg Businessweek

By Bloomberg Businessweek
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Takeaways by Bloomberg AI

- Li Hongmiao, a 62-year-old retired nurse, is enjoying her retirement, pursuing hobbies like photography, traveling, and spending on clothing and high-end cosmetics, with a monthly income of roughly 15,000 yuan.
- The "silver economy" in China, driven by affluent older consumers, could account for 10% of the country's gross domestic product by 2035, with

companies and governments counting on their spending to boost profits and growth.

- Wealthier retirees are fueling growth in industries like tourism, with specialized train excursions and luxury travel packages, as well as healthcare and housing, with insurance companies offering preferred access to pricey retirement developments and amenities.

At 62, Li Hongmiao is embracing retirement as a time for self-fulfillment. While the former nurse enjoys the grandkids – she lives with her daughter's family in Shanghai – she also has taken up photography, has traveled to France, Spain and South Korea (posh hotels only, please), and spends freely on clothing and high-end cosmetics. "Retirement feels like a second youth to me," says Li, who is divorced and receives roughly 15,000 yuan ($2,250) a month on her pension, investments and rental income from an apartment she owns in Guangzhou. "I have plenty of time, no financial pressure and I'm still healthy. I can do anything I want."

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Li belongs to a generation of affluent older Chinese consumers fueling what policymakers call the "silver economy." [1] Some 360 million people were born during a population surge from 1962 to 1975, a generation that benefited from globalization, China's two-decade real estate boom and economic growth supercharged by this new thing called the internet.

The wealthiest among them are now entering retirement with financial means and a desire to have fun, and by 2035 the silver economy could account for 10% of China's gross domestic product. As younger people struggle with rising unemployment in a slowing economy, companies are counting on wealthy retirees to boost profits, and governments see their

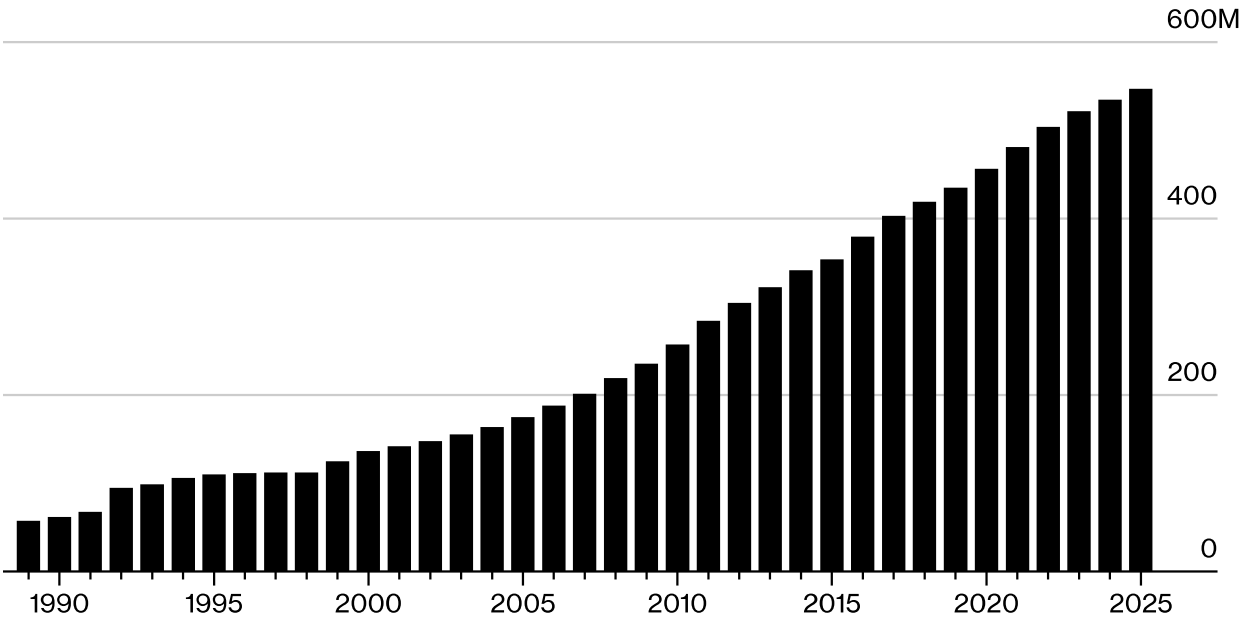
spending as a way to jump-start growth. “This generation values quality, with a strong sense of personal taste, and they’re increasingly willing to spend on themselves,” says Wang Wenbo, a professor at the Hong Kong University of Science and Technology.



The state railway is planning 2,500-plus excursions for seniors next year. *Photographer: Chen Xinbo/Xinhua/Getty Images*

These big spenders, though, make up just a fraction of China’s retirees, with people in rural areas largely left out. While pensions in Beijing and Shanghai can top 10,000 yuan per month, some people get as little as 163 yuan ($24) monthly, a figure that was raised by a meager 20 yuan in January. Access to healthcare and recreational facilities in the countryside or smaller towns, meanwhile, typically lags far behind the growing range of offerings – from hospitals to public dining halls to deliveries of low-cost meals – available to residents of prosperous megacities. “China has made great efforts to equalize pensions across regions and groups, yet the differences remain vast,” says Nie Riming, a researcher at the Shanghai Institute of Finance and Law.

Silver Surge
Retirees in China



Note: People registered as retirees in the urban employee basic pension system at yearend
Sources: National Bureau of Statistics of China; Ministry of Civil Affairs and National Office on Ageing

Tourism is a particular focus of the wealthier retirees. China State Railway Group Co. in 2024 operated almost 1,900 specialized train excursions aimed at tourists, and seniors account for 80% of the 1 million-plus passengers. By 2027, the company plans to run more than 2,500 so-called silver-hair tourist trains, featuring karaoke, card games and other activities, easy-to-digest meals (think pumpkin congee and scrambled eggs), and onboard doctors for emergencies.



Train cabins with private bathrooms and sitting areas. *Source: Fosun Train Tourism*

While shorter excursions can cost as little as 2,000 yuan, some luxury packages top 130,000 yuan – for instance, a 17-day round-trip journey between Xining (a northwestern city that's considered the gateway to the Tibetan plateau) and Kashgar (a Silk Road trading hub for two millennia). The trains are akin to cruise ships, with cabins that include private bathrooms, sumptuous meals served in opulent dining cars, and frequent stopovers where guests can tour the sights.



Gourmet cuisine in the dining car. *Source: Fosun Train Tourism*

In 2024, Trip.com Group Ltd., China's biggest travel-booking platform, launched a "Friends Club" for people over 50, offering everything from local social excursions and visits to health spas to customized trips to destinations worldwide. The company says it has attracted more than 5 million members, up 25% this year. Xinxin Wang, who heads the Friends Club unit, says the silver generation has "transformative potential" for the industry, with "spending power triple that of younger travelers."

Provincial governments are jumping in too, seeking to attract vacationing retirees. The tropical island of Hainan is implementing programs that offer traditional Chinese medicine therapies for older visitors. The mountainous province of Jilin has earmarked 300 million yuan to support health-focused tourism over the three years to 2030. Senior visitors drive hospitality revenue, says Wang Yue, a researcher at the Pangoal Institution, a Beijing think tank, "boosting healthcare and transit and generating steady local employment."



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With recent retirees prioritizing health and fitness, food manufacturers are introducing products to serve them. Dairy giants Yili, Mengniu, Danone and Nestlé have begun selling milk-based drink powders to address diabetes, gut immunity, and bone and joint health. Snack maker Want Want China Holdings Ltd. offers low-sugar black-sesame-walnut cookies and rice crackers fortified with traditional Chinese herbal medicines. And the 150 Shanghai locations of Laoxiangji [2] have begun giving seniors 15% discounts (which is unusual in China).

Housing is another opportunity, with more and more insurance companies selling life insurance policies and annuities that give buyers preferred access to pricey retirement developments. In Shenzhen, insurer Ping An will soon open a “Zhen Living” [3] community with a swimming pool and hot tubs, yoga and dance studios, and spacious lounges that can be reserved for visits from kids and grandkids. There will be concerts and literature lectures on-site, and dining in a rooftop restaurant with views of the city’s skyline. When needed, there’s a helipad from which residents can be airlifted to a nearby hospital.



Watch on

Taikang Insurance Group Inc. has more than 24,000 residents in its 35 facilities across the country, with a dozen more in the works. These complexes are full of amenities such as lounges, workout rooms and on-site rehabilitation hospitals. They can be expensive: Monthly rent ranges from about 7,000 yuan for simple accommodations in smaller cities to almost 40,000 yuan for tonier digs in Beijing or the eastern city of Suzhou. “We should enjoy life while we still can, instead of waiting until we can’t move around anymore,” says Wang Yun, 69, who lives in a Taikang community in Shanghai with her 92-year-old mother. “And the medical care here gives us a solid safety net.” *–Charlie Zhu and Lulu Shen*

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1. *(Pinyin: “yinfa jingji” — 银发经济)* A term that’s increasingly common in official media when talking about spending for or by the elderly. View in article

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2. *(Pinyin: laoxiangji — 老乡鸡)* The name roughly translates to “hometown chicken,” branding intended to give the chain’s 1,500 outlets across China an earthy and reliable vibe. View in article

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3. *(Pinyin: “Zhenyinian” — 臻颐年)* Can be translated as “prestige living in one’s twilight years.” View in article

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